

NAQEEBS ACCOUNTING SYSTEM

USER MANUAL

Double-Entry Accounting, Journal, Ledger, Trial Balance, Basic Financial Reports and Petty Cash

Document	Details
Developer / Provider	Naqeebs Multi Services
Location	Rawalpindi, Pakistan
Software	Naqeebs Accounting System
Purpose	Double-entry bookkeeping and basic accounting reports

Use this manual with the software screens and the business's accounting policies. For complex tax, regulatory, or financial-reporting matters, obtain advice from a qualified professional.

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1. Purpose and Scope

Naqeebs Accounting System is a double-entry bookkeeping application designed for recording journal vouchers, maintaining account balances, reviewing ledgers and trial balance, producing basic Income Statement and Balance Sheet reports, and handling petty cash.

This manual combines operating instructions visible in the supplied screens with standard double-entry accounting guidance. Where a screen has not been supplied, the manual explains the accounting purpose of the module without inventing unverified controls.

2. Core Double-Entry Rules

Every complete accounting transaction must contain equal debit and credit amounts. A journal voucher can have two or more lines, but the combined debit must equal the combined credit.

Normal increases: Assets and Expenses increase with a Debit. Liabilities, Capital/Equity, and Income increase with a Credit. The opposite side normally records a decrease.

Account Type	Increase	Decrease	Normal Balance
Assets	Debit	Credit	Debit
Expenses	Debit	Credit	Debit
Liabilities	Credit	Debit	Credit
Capital / Equity	Credit	Debit	Credit
Income / Revenue	Credit	Debit	Credit

3. Command Dashboard

The Command Dashboard provides access to Chart of Accounts, Journal Entries, Ledger, Trial Balance, Income Statement, Balance Sheet, and Petty Cash. The dashboard also shows From and To dates, a Refresh control, Bank/Cash/Petty Cash summaries, Generate Monthly Total, Post Summary to Journal, and a Financial Preview area.

Use the reporting period controls before reviewing period-based information. Investigate unexpected balances through the relevant ledger rather than entering an artificial correcting entry.

4. Chart of Accounts

The Chart of Accounts screen lists Account ID, Account Name, Category, and Type. The Add / Edit Account area contains Account ID, Account Name, Category, Type, Add New, Update Selected, Delete Selected, and Clear.

Create accounts before using them in journal entries. Give each account a unique ID and meaningful name, then classify the Category and Type consistently. Incorrect classification can leave a journal mathematically balanced while causing the financial reports to be misleading.

Review existing combinations carefully. For example, the supplied screen shows an account named Opening Balance with Category Current Assets and Type Expense, and a Bike account with Category Other Expense and Type Assets. Confirm that such combinations match the intended accounting treatment before relying on reports.

5. Journal Entries and Vouchers

The New Journal Line section contains Date, Voucher No., Account, Description, Debit, Credit, Add Line, and Start New Voucher. The screen also displays Journal out-of-balance total, which should return to 0.00 when the voucher is complete.

To record a voucher, enter all debit and credit lines that belong to one transaction. Use the same voucher number for the related lines. After the voucher balances, start the next voucher using the application workflow.

The journal history area displays Date, Voucher Number, Account ID, Account, Description, Debit, and Credit, with From, To, Account, Apply, and Clear filters. The supplied screen shows matching overall Total Debit and Total Credit of 10,787,218.85 and Closing Balance 0.00.

Delete Selected Line should be used cautiously. Removing only one side of a completed voucher can leave the accounting record unbalanced. After any correction, recheck the voucher, ledger, and trial balance.

6. Ledger

The Ledger groups journal postings by account so users can review debit movements, credit movements, and resulting balances. Use the Ledger to investigate unusual cash, bank, petty cash, income, expense, liability, or capital balances.

A journal presents transactions by voucher/date; a ledger presents the accumulated activity of an individual account. If a report looks incorrect, the relevant ledger is one of the first places to investigate.

7. Trial Balance

The Trial Balance summarizes ledger balances into Debit and Credit columns. As a fundamental control, total debits should equal total credits.

An equal Trial Balance does not prove that every entry is correctly classified. Equal amounts posted to the wrong accounts can still balance. Review account classification and supporting records where results appear unreasonable.

8. Income Statement

The Income Statement summarizes income and expenses for a period. The basic relationship is Income minus Expenses equals Profit or Loss.

Before relying on the report, confirm that income and expense accounts are classified correctly and that the selected accounting period is appropriate.

9. Balance Sheet

The Balance Sheet presents the financial position of the business. The basic accounting equation is $\text{Assets} = \text{Liabilities} + \text{Equity}$.

Cash, bank, petty cash, receivables, equipment and similar resources are generally assets. Payables and loans are generally liabilities. Capital and accumulated results form part of equity according to the accounting structure used.

10. Petty Cash Module

The Petty Cash screen includes From, To, Refresh, Generate Monthly Total, and Post Summary to Journal. The Add Petty Cash Entry area visibly includes Date, Description, Account, Type, Receipt, and a Payment field at the right side of the screen.

A Receipt represents money coming into petty cash. A Payment represents money leaving petty cash. Small expenditures should be assigned to the correct expense account and supported by vouchers or receipts where applicable.

The screen also contains Monthly Petty Cash Expenses with Expense Head and Amount, followed by a transaction list containing Date, Voucher, Expense Account, Description, Debit, and Credit. The bottom displays Total Debit, Total Credit, Closing Balance, and Monthly Petty Total.

For the period shown in the supplied Petty Cash screen, the displayed Total Debit is 5,000.00, Total Credit is 1,000.00, and Closing Balance is 4,000.00. Use the detailed entries and expense summary to reconcile the fund before posting.

11. Monthly Petty Cash Posting

Use the selected period to review petty cash activity, then Generate Monthly Total and verify the resulting expense information. When satisfied, Post Summary to Journal according to the application workflow.

Important: do not manually enter the same petty cash expenses in Journal Entries and then post the same summary again. Duplicate posting would overstate expenses and cash movement. After posting, review the Journal, Ledger, and Trial Balance.

12. Recommended Accounting Workflow

1. Create and review the Chart of Accounts.
2. Identify each business transaction and its supporting document.
3. Determine the affected accounts.
4. Decide the debit and credit treatment.
5. Enter the journal voucher and ensure out-of-balance is 0.00.
6. Review the relevant ledger accounts.
7. Review the Trial Balance.
8. Reconcile cash, bank, and petty cash.
9. Review the Income Statement and Balance Sheet.

10. Investigate unexpected balances before making corrections.

13. Common Journal Examples

The following examples illustrate standard double-entry treatment. Use account names that match the Chart of Accounts configured in the system.

Transaction	Debit	Credit
Owner introduces cash 100,000	Cash 100,000	Capital 100,000
Deposit cash into bank 40,000	Bank 40,000	Cash 40,000
Pay rent 20,000	Rent Expense 20,000	Cash/Bank 20,000
Earn cash service income 15,000	Cash 15,000	Service Revenue 15,000
Transfer 10,000 to petty cash	Petty Cash 10,000	Cash/Bank 10,000
Pay petrol from petty cash 300	Petrol Expense 300	Petty Cash 300
Buy equipment for cash 25,000	Equipment 25,000	Cash/Bank 25,000
Receive bill on credit 8,000	Relevant Expense 8,000	Accounts Payable 8,000
Pay creditor 8,000	Accounts Payable 8,000	Cash/Bank 8,000

14. Period-End Checklist

Journal: confirm vouchers are complete and balanced.

Ledger: review unusual or negative balances.

Petty Cash: compare entries with vouchers/receipts, reconcile the physical fund, generate the period total, and avoid duplicate posting.

Trial Balance: confirm total debits equal total credits.

Reports: review Income Statement and Balance Sheet for reasonableness.

Backup: keep a current backup of the accounting database and supporting records.

15. Important Controls and Warnings

Do not treat transfers between Bank, Cash, and Petty Cash as income or expense merely because money moves between accounts. These are normally transfers between asset accounts.

Do not force a report to balance by creating unexplained entries. Find the cause in the journal, ledger, account classification, or source document and correct the underlying record.

Protect accounting data with regular backups. Retain supporting documentation and use clear voucher descriptions so transactions can be traced later.

16. Quick Reference

Situation	Accounting treatment
Asset increases	Debit the asset
Asset decreases	Credit the asset
Expense increases	Debit the expense
Income increases	Credit the income
Liability increases	Credit the liability
Liability decreases	Debit the liability
Capital increases	Credit capital
Bank to Cash transfer	Debit Cash; Credit Bank
Cash/Bank to Petty Cash	Debit Petty Cash; Credit Cash/Bank